



Attempting control

Governments can attempt to manage the economy by adjusting policies such as taxes and influencing interest rates. Each adjustment can affect a small part of the complete economic machine. However, the economy is usually beyond the direct control of a country's government, and its different elements interact with each other in different ways. Forecasting its behaviour, and attempting to balance competing demands for resources, is therefore a continual challenge.

Economic machine

This design is based on a real machine, the MONIAC, a hydraulic simulation of the UK economy built in 1949 by economist Bill Phillips. Based on the theory of national income, it showed the connections between the different parts of the economy using a system of tanks, pumps, and tubes, and could be used to make simple forecasts resulting from policy changes.

